COURSE

## Pearson BTEC Level 3 National Extended Diploma in Business (601/7160/1)

# External environment

**Unit 1: Exploring Business · C1 External environment; D2 Price elasticity of demand**

Revision for Unit 1: Exploring Business: each firm works it out on its own deals.

| Class | Topic |
|---|---|
| **Pearson BTEC Level 3 National in Business** | **External environment** |

THE LESSON

| | | | | | |
|---|---|---|---|---|---|
| **Setup** | | | | | 2 min |
| **Round 1** | | | | | Decisions 3 min · Deals 5 min · Topic tasks 4 min |
| **Firm decisions** | **Deals** | TASK 1 **Passing on the rise** | TASK 2 **Pound and your firm** | | |
| **Round 2** | | | | | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min |
| **Firm decisions** | **Deals** | TASK 3 **Euro cars in pounds** | TASK 4 **Euro sale in pounds** | **B2B deal** | |
| **Round 3** | | | | | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min |
| **Firm decisions** | **Deals** | TASK 5 **Fixed or variable** | TASK 6 **Rates: two effects** | **B2B deal** | |
| **Final questions** | | | | | 3 min |

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** | Buy property or funds. The value can rise or fall. |
| **Operations** | **Buying** | Hire the Procurement Specialist or the Stock Controller for the round. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

The pound falls, so your imported cars cost more. Your buyers are very price sensitive.

**If you pass on the full rise, what is most likely?**

PICK ONE

- ○ Revenue rises with the higher price
- ✔ **Sales fall a lot and revenue falls**
- ○ Sales stay the same
- ○ Your costs fall in pounds

**Why:** With elastic demand, a higher price cuts sales by more, so revenue falls.

## Task 2

ROUND 1

You import cars from Europe and sell some to Irish dealers. The pound rises.

**Which two effects are most likely?**

PICK TWO

- ✔ **Imports cost you less**
- ○ Imports cost you more
- ○ Irish dealers buy more from you
- ✔ **Your cars cost more in Ireland**
- ○ Your costs do not change

**Why:** A strong pound: imports cheaper, exports dearer.

## Task 3

ROUND 2

Three cars on offer from European dealers, priced in euros.

**Order by cost in pounds, cheapest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **€23,100 at €1.05 to the £**
2. **€30,000 at €1.25 to the £**
3. **€27,500 at €1.10 to the £**

**Why:** £22,000, £24,000 and £25,000.

## Task 4

ROUND 2

You sell used cars to an Irish dealer, in euros.

**Fall in what the deal earns you, in £?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| The deal, in euros | **€10,000** |
| £1 buys, before | **1.00** |
| £1 buys, now | **1.25** |

METHOD

**Fall = euros ÷ old rate − euros ÷ new rate**

€10,000 ÷ 1.00 − €10,000 ÷ 1.25 = £2,000

**Why:** A stronger pound earns an exporter fewer pounds for the same euros.

## Task 5

ROUND 3

Your £100,000 loan: variable 6% now, forecast 9% after six months. The bank offers a fixed 7%.

**Which costs less over the year, and why?**

PICK A OR B AND GIVE A REASON

- ✔ **Fix at 7%**
- ○ Stay on the variable rate

**Why:** Variable: £3,000 + £4,500 = £7,500 for the year; fixed at 7%: £7,000.

## Task 6

ROUND 3

Interest rates rise sharply. Many buyers use finance, and your stock loan has a variable rate.

**Which pair of effects is most likely?**

PICK ONE

- ○ Fewer buyers, cheaper stock loans
- ✔ **Fewer buyers, dearer stock loans**
- ○ More buyers, cheaper stock loans
- ○ More buyers, dearer stock loans

**Why:** Dearer credit puts buyers off and raises the interest on your stock loan.

# Final questions

**6**
questions for each pupil

**112**
Level 3 Business questions

**5**
of them on external environment

**The game draws the 5 questions on this topic, and 1 more from the 112 Level 3 questions.**

1 A UK importer buys in euros and sells in pounds. Sterling depreciates against the euro; prices are unchanged. What is the immediate likely effect?
**Each car costs more in pounds, cutting margin.**

2 A UK importer must pay €240,000. The rate moves from £0.84 per euro to £0.89 per euro before payment. How much extra sterling is required?
**£12,000.**

3 A UK importer expects to pay €400,000. Each £0.01 rise in the sterling cost of one euro changes its cost by how much?
**£4,000.**

4 A dealer sells most new cars on finance and most used cars for cash. Interest rates rise. What is the most likely effect?
**New car sales fall more: finance costs rise; used are cash.**

5 The UK economy enters a recession. Which dealer is likely to be hit hardest?
**One selling new luxury cars, mostly on finance.**